

Sample Regulation: Model Risk Management Guideline

Section 1: Scope

This synthetic guideline applies to AI systems used for regulated decisions within federally regulated financial institutions.

Section 2: Definitions

Regulated decisions means decisions affecting consumers in credit, insurance underwriting, or other supervised activities.

Section 3: Requirements

3.1 Model inventory: institutions shall maintain an inventory of all AI models in scope of this guideline including vendor-supplied models.

3.2 Risk assessment: each model shall be assessed against impact tier and subject to proportionate validation before deployment.

3.3 Ongoing monitoring: deployed models shall be monitored for performance drift and reviewed at least annually.

Section 4: Vendor Model Risk

4.1 Third party AI systems are subject to the same risk requirements as internally developed systems regardless of vendor representations.

4.2 Institutions shall obtain SOC 2 attestation or equivalent evidence of operational controls from material AI vendors before integration.